**Higher National Diploma in Accountancy**
**First Year, 2nd Semester Examination - 2022**
**DA 1223- Management Accounting**

| | | |
|---|---|---|
| **Instructions for Candidates:** | No. of questions | : 06 |
| Answer five **(05) questions including Question No 01** | No. of pages | : 06 |
| Calculator is allowed | Time | : 03 hours |

**Question No 01**

(i) Briefly explain, how Management Accounting serves as a tool in decision-making and execution. (02 Marks)

(ii) Distinguish between management accounting and financial accounting? (03 Marks)

(iii) Briefly explain the cost classification according to the purpose and behavior. (03 Marks)

(iv) What strategies can be implemented to create a more satisfying and supportive work environment in order to reduce labor turnover? (03 Marks)

(v) Define the following terms.

(a) Cost object (b) Cost center (03 Marks)

(vi) DDS (Pvt) Ltd. is a retail clothing shop and sells special men's shirt at a constant rate of Rs.2,000 per unit. The annual demand for the product is 8,000 units. The ordering cost per order is Rs. 500, and the holding cost of their stocks is 10% of unit price.
Calculate Economic Order Quantity (EOQ) (03 Marks)

(vii) The following information is available in respect of product "TPX".

Re-order quantity 90,000 units Average Consumption 12,000 units.

Estimated lead time- 4 to 6 weeks Maximum consumption 18,000 units.

Calculate the following:

(a) Re-order Level

(b) Minimum Stock Level and Maximum Stock Level (03 Marks)

**(Total 20 Marks)**

**Question No 02**

(a) Stellar Textiles Ltd. employs workers on a piece-rate system. The company produces various types of garments and pays workers based on the number of units produced. Normal hourly rate is Rs. 600/=. Employees are required to work twenty-four (24) days per month, with each day consisting of eight (8) hours of work. Employees are provided 60 minutes to complete one unit of work.

During March, the company's workers produced the following:

| Worker | Production units |
|---|---|
| D.M. Ashen | 216 units |
| S.P.Perera | 240 units |

Based on the information provided, you are required to;

i. Calculate the total earnings of the workers under Straight piece rate system

ii. Calculate total earnings under Rowan system.

(08 Marks)

(b) SHREWD (pvt) Ltd. is a small-scale garment factory comprising three production departments: A, B, and C, along with two service departments: X and Y. The projected overhead costs for the upcoming year are outlined below.

| | | | |
|---|---|---|---|
| Machinery Depreciation | Rs.1,125,000 | Building Rent | Rs.450,000 |
| Electricity | Rs.720,000 | Insurance of Inventory | Rs.182,500 |

Additional inform

| | Production Departments | | | Service Departments | |
|---|---|---|---|---|---|
| | A | B | C | X | Y |
| Indirect Material (Rs.) | 200,000 | 180,000 | 150,000 | 20,000 | 40,000 |
| Indirect wages (Rs.) | 120,000 | 140,000 | 80,000 | 100,000 | 160,000 |
| Direct Material (Rs.) | 610,000 | 880,000 | 375,000 | 125,000 | 220,000 |
| Cost of Machinery (Rs.) | 1,000,000 | 2,000,000 | 1,000,000 | 100,000 | 400,000 |
| Value of Stock (Rs.) | 450,000 | 550,000 | 375,000 | 150,000 | 300,000 |
| Floor Area (sq. ft.) | 2,250 | 1,250 | 750 | 250 | 500 |
| Electricity used in units | 350 | 600 | 200 | 250 | 100 |

Overhead cost of service departments of Canteen and Stores are apportioned as follows

| Department | A | B | C | X | Y |
|---|---|---|---|---|---|
| X | 20% | 30% | 40% | | 10% |
| Y | 30% | 20% | 30% | 20% | |

You are required to,

(i) Prepare a statement to show apportionment of overhead cost to production and service departments.

(ii) Re-distribute overhead cost of service departments to production departments using simultaneous equation method. (12 Marks)

**Question No 03**

(a) Describe the main differences between job costing and process costing. (04 Marks)

(b) Bright Spark Manufacturing Company produces a single product in two consecutive processes Mixing and Finishing. The following data is available for the Finishing process for January 2022.

| Description | Value |
|---|---|
| Material transferred from Mixing process | 10,000 liters Valued Rs. 499,200 |
| Material added in the Finishing process | 2,000 liters valued Rs. 43,200 |
| Wages paid | 160 hours at Rs. 650 per hour |
| Variable production overheads | Valued Rs. 40,000 |
| Fixed production overheads | 490,000 per period |
| Normal loss | 10% all inputs of the period |
| Scrap sales value of the loss | Rs.20 per liter |
| Actual Output | 10,200 liters |
| Closing WIP | 1,000 liters |

The closing WIP were completed as follows:

Material added 100%, Direct Labour 60%, Variable overheads 20% and Fixed overheads are added at the end of the process.

You are required to prepare the followings;

a) Process Account for Finishing.
b) Abnormal Loss/ Gain Account
c) Scrap sales account (16 Marks)

**(Total 20 Marks)**

**Question No 04**

(a) What are the advantages of implementing standard costing? (03 Marks)

(b) Luxe Scents (pvt) Ltd. produces a single product that is sold immediately after production. The company operates a standard costing system and conducts variance analysis monthly. The standard cost card for the product "SerenityMist" per unit is as follows.

| | | (Rs.) |
|---|---|---|
| Direct Material – Material X | 2.5kg @ Rs.500 per kg | 1,250 |
| - Material Y | 10kg @ Rs.200 per kg | 2,000 |
| Direct wages | 2 hours @ Rs.750 per hour | 1,500 |
| Variable Overheads | 2 hours @ Rs.400 per hour | 800 |
| Fixed Overheads | | 450 |
| **Standard Cost** | | **6,000** |
| Standard Profit | | 1,500 |
| **Standard Selling Price** | | **7,500** |

The fixed overhead included in the standard cost is based on an expected monthly output of 1,000 units.

**During April the actual results were as follows.**

- Material X purchased was 2,400kg at a cost of Rs. 1,248,000 and Material Y purchased was 6,400kg at a cost of Rs. 1,152,000
- Labour hours paid for amounted to 1,450 hours at a cost of Rs. 1,160,000.
- The actual operating hours totaled 1,400 hours, primarily due to machine breakdowns.
- Variable overhead amounted to Rs. 590,000.
- Fixed overheads amounted to Rs.675,000.
- Production of 800 units were sold for Rs. 5,760,000

You are required to calculate:

(i) Price and usage variances for each material.

(ii) Labour rate variance, Efficiency Variance & Idle Time Variance.

(iii) Variable overhead expenditure and efficiency Variance

(iv) Fixed overhead expenditure (17 Marks)

**(Total 20 Marks)**

**Question No 05**

(a) What is a budget, and why is it important for organizations? (03 Marks)

(b) Explain what is meant by "Master budget" and List the components of a master budget for a manufacturing firm. (05 Marks)

(c) Electro Mart (Pvt) Ltd. is preparing a cash budget for the three-month period from April to June 2022. The following information has been provided:

| Month | Sales (Rs.) | Purchases (Rs.) | Wages (Rs.) | Expense (Rs.) | Overhead (Rs.) |
|---|---|---|---|---|---|
| February | 800,000 | 350,000 | 80,000 | 110,000 | 130,000 |
| March | 600,000 | 270,000 | 70,000 | 140,000 | 130,000 |
| April | 1,600,000 | 680,000 | 120,000 | 165,000 | 135,000 |
| May | 1,000,000 | 450,000 | 90,000 | 150,000 | 140,000 |
| June | 900,000 | 300,000 | 80,000 | 130,000 | 160,000 |

**Additional Information**

- The cash balance at the beginning of April is Rs.120,000.
- Sales are composed of 40% cash transactions and 60% credit transactions. Of the credit sales, 70% are collected in the month following the sale, and the remaining 30% are collected in the second month after the sale.
- All purchases are made on credit, and payments to suppliers are made in the month following the purchase month.
- Wages are paid immediately, while expenses and overhead are paid in the following month.
- A monthly loan installment of Rs. 20,000 must be paid.
- A commission of 2% on credit sales is due for payment in the month following the sales.
- The company plans to purchase a machine valued at Rs. 520,000, with payment structured into four equal installments starting from May.

You are required to prepare a cash budget for the quarter beginning in April 2024.

(12 Marks)

**(Total 20 Marks)**

**Question No 06**

(a) What does Balanced Scorecard refer to, and why is it significant in management accounting? (04 Marks)

(b) Explain the perspectives of the Balanced Scorecard with an example for each.

(04 Marks)

(c) What are the stages involved in the Activity-Based Costing (ABC) system?

(04 Marks)

(d) EXPO Company manufactures and sells one product. Currently, it uses absorption costing to measure profits and inventory values. The budgeted production cost per unit is as follows

Direct material 4 Kg at Rs.20 per kilogram
Direct labour 3 hours at Rs.40 per hour
Variable overhead Rs.60 per unit

Each unit is sold on the market for Rs.380. The normal activity level of the company is the production of 30 000 units per annum. Budgeted fixed production cost is Rs.600,000. Actual fixed costs for the year were as follows,

Production Rs.540 000
Administration Rs.260 000
Selling expenses Rs.320 000

Additionally, there is a variable distribution cost of Rs.20 per unit. For the year ended 31st March 2024, the company produced 28,000 units and sold 25,000 units. At the beginning of the year, there were 2,500 units in stock.

Using the above data, you are required to prepare income statement for the year ended 31st March 2024 using marginal costing system.

(08 Marks)

**(Total 20 Marks)**